



Small Business Management Team

(510)

STATE 2025
PRELIMINARY

TOTAL POINTS _____ *(100 points)*

MODIFICATION FOR STATE PRELIMINARY COMPETITION

Just as Innovation Retail begins its digital transformation journey, a new competitor, Apparel Pro, opens its doors in the same city. Apparel Pro is a hybrid retail chain that combines an advanced e-commerce platform with a strong commitment to sustainability, immediately attracting a significant portion of Innovation Retail's customer base. At the same time, Innovation Retail experiences a significant data breach that compromises customer information, shaking consumer trust and adding an unexpected layer of complexity to their transformation efforts.

INITIAL CASE STUDY TOPIC

Innovation Retail, a well-established chain of brick-and-mortar retail stores, is grappling with declining sales due to the surge in e-commerce. The stores, located in a city of 550,000 people, employ eight full-time employees at each of their four locations located in different parts of the city. The hours of operation at each store are Monday – Friday from 9:00 a.m. – 5:30 p.m., Saturday from 9:00 a.m. – 2:00 p.m., and closed on Sunday.

Over the past two years, in-store sales have dropped significantly: by 27% at store 1, 24% at store 2, and 19% at store 3. At the fourth store's location, there was a slight increase in sales of 15%. CEO Matthew Lawrence has decided to embark on a digital transformation project to integrate online and offline shopping experiences, tasking project manager Monroe Lewis and his team with leading this initiative. However, due to the continued decrease in sales and multiple attempts to generate additional income, discussions are now taking place about potentially cutting employees at each location. Even though total sales decreased at three stores, each full-time salesperson was paid a 20% commission on every purchase plus a bonus.

Internal Challenges

- Employee morale
- Employee digital skills gap
- Balancing resources between physical stores and developing the digital platform
- Employee costs

External Challenges

- Technology adoption
- E-commerce competition
- Economic factors
- Changing consumer behavior

As a team, you will develop a plan with different strategies for Monroe Lewis and his team to employ to help Innovation Retail be more profitable. While developing your plan, consider the following questions:

- How can Innovation Retail use its physical stores to make online shopping better and attract more customers?
- What online marketing methods can help bring more people to both the website and the physical stores?
- What new technology is needed to connect online and in-store shopping smoothly?
- How can Innovation Retail make customers more loyal and keep them coming back?
- What ways can Innovation Retail save money without hurting employee morale or customer service?

A team will be DISQUALIFIED for violations of the Copyright and Fair Use Guidelines.

Teams who do not submit an entry that follows this topic will be disqualified.